

Like the earnings line, the p/e ratio is often a useful measure of whether any stock is overpriced, fairly priced, or underpriced relative to a company's money-making potential.

(In a few cases the p/e ratio listed in the newspaper may be abnormally high, often because a company has written off some long-term losses against the current short-term earnings, thus "punishing" those earnings. If the p/e seems out of line, you can ask your broker to provide you with an explanation.)

In today's *Wall Street Journal*, for instance, I see that K mart has a p/e ratio of 10. This was derived by taking the current price of the stock (\$35 a share) and dividing it by the company's earnings for the prior 12 months or fiscal year (in this case, \$3.50 a share). The \$35 divided by the \$3.50 results in the p/e of 10.

The p/e ratio can be thought of as the number of years it will take the company to earn back the amount of your initial investment— assuming, of course, that the company's earnings stay constant. Let's say you buy 100 shares of K mart for \$3,500. Current earnings are \$3.50 per share, so your 100 shares will earn \$350 in one year, and the original investment of \$3,500 will be earned back in ten years. However, you don't have to go through this exercise because the p/e ratio of 10 tells you it's ten years.

If you buy shares in a company selling at two times earnings (a p/e of 2), you will earn back your initial investment in two years, but in a company selling at 40 times earnings (a p/e of 40) it would take forty years to accomplish the same thing. Cher might be a great-grandmother by then. With all the low p/e opportunities around, why then would anybody buy a stock with a high p/e? Because they're looking for Harrison Ford at the lumber yard. Corporate earnings do not stay constant any more than human earnings do.

The fact that some stocks have p/e's of 40 and others have p/e's of 3 tells you that investors are willing to take substantial gambles on the improved future earnings of some companies, while they're quite skeptical about the future of others. Look in the newspaper and you'll be amazed at the range of p/e's that you see.

You'll also find that the p/e levels tend to be lowest for the slow growers and highest for the fast growers, with the cyclicals vacillating in between. That's as it should be, if you follow the logic of the discussion above. An average p/e for a utility (7 to 9 these days) will be lower than the average p/e for a stalwart (10 to 14 these days), and that in turn will be lower than the average p/e of a fast grower (14–20). Some bargain hunters believe in buying any and all stocks with low p/e's, but that strategy makes no sense to me. We shouldn't compare apples to oranges. What's a bargain p/e for a Dow Chemical isn't necessarily the same as a bargain p/e for a Wal-Mart.